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REAL ESTATE MARKET ANALYSIS & INVESTMENT PROPOSAL

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LOCATION OVERVIEW – LONG BEACH, CA

- **City & Demographics**
 - Large coastal city in the **Los Angeles metro**
 - Population: ~**466,000+ residents**
 - Median age: mid-30s (young to middle-aged)
 - Very diverse: strong **Hispanic/Latino, White, Black, and Asian** communities
 - Median household income: about **\$80k–\$85k**
 - Mix of renters and owners, with renters slightly dominating
- **Economy & Development**
 - Key drivers: **Port of Long Beach**, healthcare, education (CSU Long Beach), aerospace/“Space Beach,” tourism
 - Ongoing **downtown and housing projects**
 - Upcoming global events (World Cup 2026, Olympics 2028) support **future growth**



MARKET TRENDS (PRICES, RENTS, VACANCY & COMMERCIAL)

Housing Market

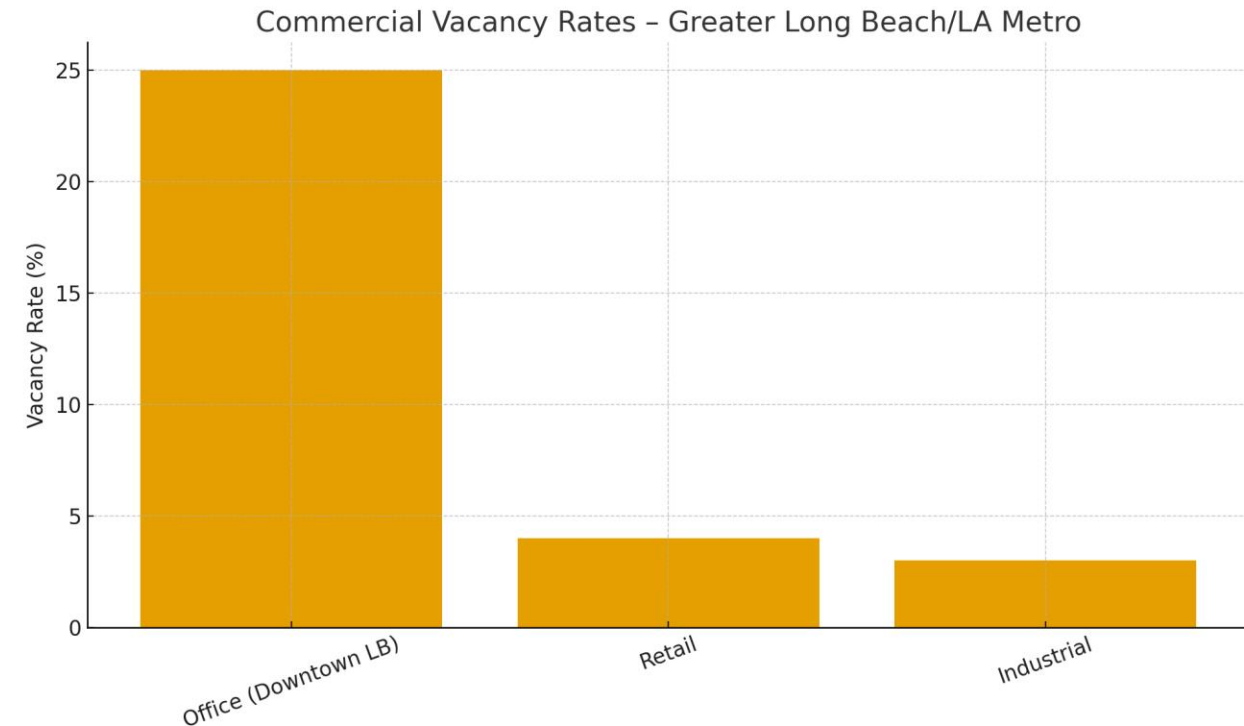
- Typical/median home value: ≈ **\$800k–\$850k**
- Median listing price: ≈ **\$770k–\$810k**
- Price per square foot: ≈ **\$600/sf**
- Homes sell quickly: ≈ **20–30 days on market**

Rental Market

- Average rent (all units): ≈ **\$2,600–\$2,700/month**
- Median rent (all types): ≈ **\$2,100/month**
- 1-bed: ≈ **\$2,300–\$2,400** | 2-bed: ≈ **\$3,000–\$3,100**
- Tenure split: ≈ **59% renters / 41% owners**

Vacancy & Commercial Snapshot

- Overall housing vacancy: ≈ **6%** (tight market)
- For-sale inventory: ≈ **800 active listings**
- Commercial vacancy (metro area):
 - **Office (Downtown LB): ~25%** – weak post-COVID
 - **Retail: ~3–4%** – relatively tight
 - **Industrial: ~2–3%** – very tight, port-driven



Takeaway:

- Housing: **tight and expensive**
- Commercial: **strong retail & industrial**, weaker office

Demand Analysis

Who Drives Demand in Long Beach?

- **Young professionals & students** (CSU Long Beach, LBCC)
- **Working families** seeking somewhat more affordable SoCal housing
- **Port, logistics, and service workers** (often long/irregular shifts)
- **Healthcare workers and retirees**

Most In-Demand Property Types

- **Residential**
 - Moderately priced single-family homes (~\$700k–\$800k)
 - Small multifamily and **modern apartments (1–2 bedrooms)**
- **Commercial (for gyms)**
 - **Retail/service spaces in visible, high-traffic locations**
 - Strong industrial demand shows a **healthy port/logistics economy**

Why This Supports a Gym Investment

- Large base of renters and workers in need of convenient fitness options
- Shift workers and busy professionals value **flexible / extended hours**
- Post-COVID **return to in-person fitness** supports long-term demand for gyms



PROPERTY SELECTION – 24 HOUR FITNESS GYM

- **Subject Property**
- Freestanding **24 Hour Fitness** gym in the **LA/Long Beach metro** (Huntington Beach)
- Single-tenant **commercial retail/fitness** building
- **Key Facts (Listing Data)**
- Property type: Single-tenant commercial (retail / fitness center)
- Current use: 24 Hour Fitness gym
- Building size: **≈ 30,070 sq ft**
- Lot size: **≈ 2.59 acres**
- Asking price: **≈ \$13,495,000**
- Cap rate: **≈ 6.4–6.6%** (based on in-place income)
- Lease structure: **Triple-net (NNN)** – tenant pays most operating expenses
- Tenant: 24 Hour Fitness (national brand)
- Lease term: Through **Dec 31, 2026**, with extension option
- **Location & Trade Area**
- Signalized corner, high traffic (**~46,000 cars/day**)
- Large parking lot – easy access for members
- Trade area: **~134,000+ residents within 3 miles**
- Median household income within 1 mile: **~\$115,000**
- Nearby co-tenants: Starbucks (drive-thru), KFC, Walgreens, grocery, other retail



SWOT & NEIGHBORHOOD INSIGHT

SWOT – 24 Hour Fitness Property

- **Strengths**
 - Prime corner location, strong visibility & traffic
 - Large building + ample parking – ideal for a big gym
 - Established national tenant; NNN lease = low management
- **Weaknesses**
 - Single-tenant dependency (24 Hour Fitness only)
 - Lease expires in 2026 → rollover/re-leasing risk
 - Specialized gym build-out may limit other uses
 - High purchase price limits buyer pool
- **Opportunities**
 - Renew/extend lease at higher rent if performance is strong
 - Re-tenant building with another gym or large-format retailer
 - Long-term **redevelopment potential** (multi-tenant or mixed-use)
 - Benefit from rising health & fitness trends
- **Threats**
 - 24 Hour Fitness financial health & competition (other gyms, online fitness)
 - Economic downturn could reduce memberships and re-leasing demand
 - Risk of extended vacancy for a 30k sq ft box

Neighborhood Insight (Gym Area)

- Suburban coastal area, generally **safe and family-friendly**
- Middle-to-upper income households; strong spending power
- Amenities: coffee shops, fast food, pharmacy, grocery, parks, nearby beach
- Good car access (major roads + freeway nearby) with plenty of parking

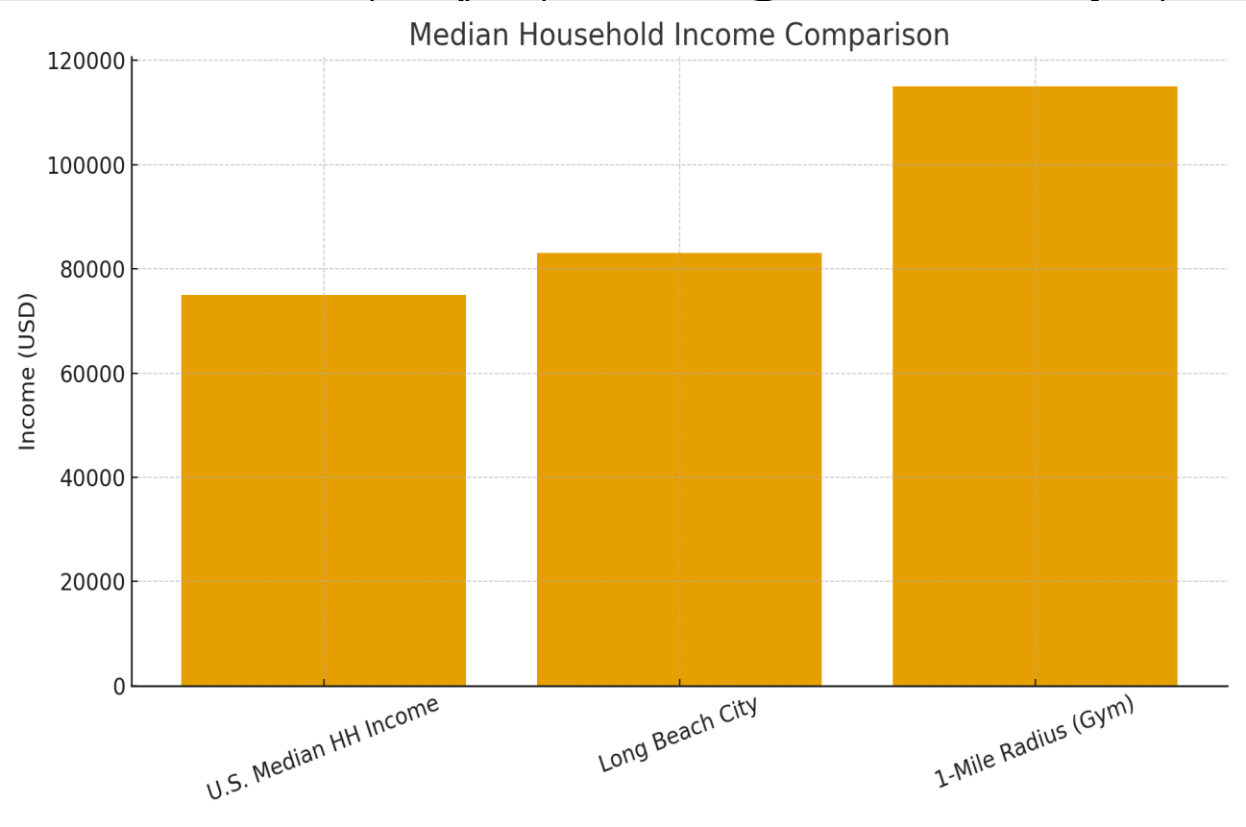
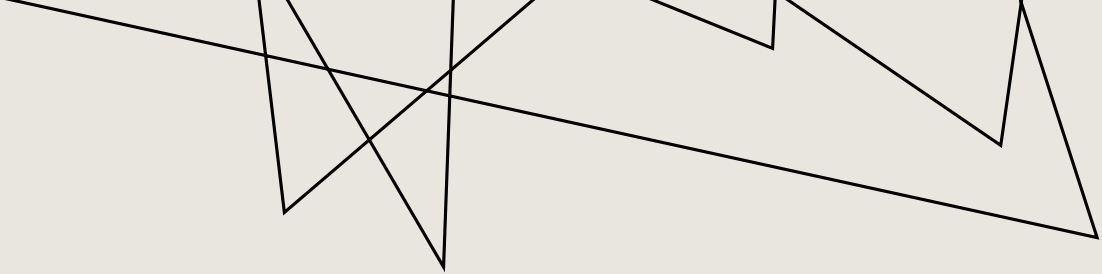


Figure: Median household income near the 24 Hour Fitness is significantly higher than both the U.S. and Long Beach averages, showing an affluent trade area that can support a membership-based gym.



INVESTMENT PROPOSAL



After the 24-Hour Fitness lease expires in December 2026, the investment strategy for this property focuses on carrying out a value-add renovation. The investor gains steady NNN cash flow by keeping the asset for the duration of the lease while getting ready to move the 30,000 square foot facility to a better and higher use. With a dense, wealthy population of approximately 134,000 people living within a three-mile radius, the Long Beach/Orange County market has consistently solid fundamentals, with retail vacancies close to 3–4% and industrial/logistics vacancy around 2–3%. The property is adaptable for future applications such multi-tenant retail, another gym operator, wellness/medical users, or mixed-use redevelopment due to its signalized corner location, great visibility, and wide parking area. These favorable economic and demographic circumstances offer a solid basis for long-term appreciation.



INVESTMENT PROPOSAL CONTINUED

The property offers consistent cash flow throughout a five-year tenure, increasing from around \$125,000 in Year 1 to \$165,000 in Year 5, while NOI grows cautiously from \$890,000 to \$930,000. The yearly loan service with 70% LTV financing is around \$765,000, yielding cash-on-cash returns of three to four percent. Amortization lowers the loan total to around \$8.55 million, while appreciation at a rate of 3% annually raises the property value to an anticipated \$15.6 million by Year 5. The total cash returned upon departure is around \$7.75 million due to the combined impacts of equity accumulation, appreciation, and cumulative cash flow. This results in approximately \$3.7 million in profit, which is comparable to a 92% total return or a 13–15% IRR. Important risks include the possibility that 24-Hour Fitness won't renew, difficulties renting a large-format box, and vulnerability to a recession;

Item	Estimate
Initial equity investment	≈ \$4.05M
Equity at sale (Year 5)	≈ \$7.05M
Cash flow collected over 5 years	≈ \$700,000 (sum of annual cash flows)
Total cash returned (sale + cash flow)	≈ \$7.75M
Profit (Total Return – Initial Equity)	≈ \$3.7M
5-Year ROI	~92% total return
Estimated IRR	~13–15% (conservative estimate)

REFLECTION

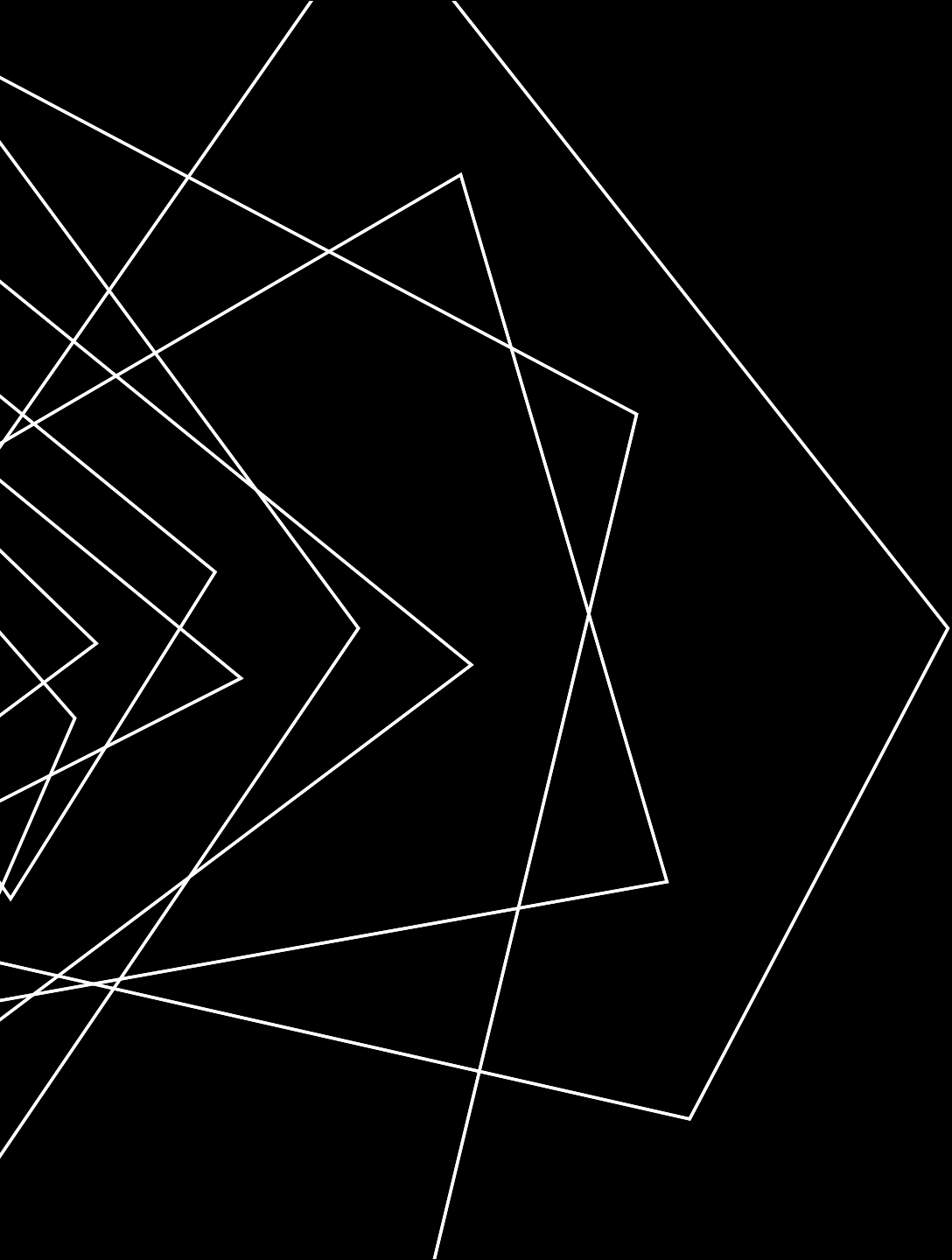
What I Learned

Researching the Long Beach real estate market taught me how many different factors go into evaluating a property — not just price, but demographics, vacancy trends, tenant strength, lease structure, and even future city development plans. I also learned how important it is to think long-term, especially when dealing with commercial properties that have expired leases. Running a 5-year financial projection also showed me how mortgage structure, debt service, NOI growth, and appreciation all interact to determine investment returns. Overall, I learned how to think like an investor instead of just looking at surface-level numbers.

What Surprised me About the Market

I was surprised by how high prices are in Long Beach and Orange County despite rising interest rates. The residential market is still competitive, and homes continue to sell quickly with very low inventory. Another surprise was the contrast between sectors: retail and industrial spaces are extremely tight with low vacancy, while office space is struggling with high vacancy (25%+ downtown). I didn't expect industrial/logistics space to be so scarce, but the influence of the Port of Long Beach and the region's population growth keeps demand very strong. It was also surprising to see how much value a strong location adds—particularly for a commercial property like the 24 Hour Fitness site, where traffic count, demographics, and corner visibility directly influence investment potential.





THANK YOU